26MLD Lakkaghat –

LIQUIDATED DAMAGES - OPERATIONS

ARTICLE 1. Liquidated Damages (Operations) for STP

Liquidated Damages (GC Section 5.4)

1) In case the Operator fails to meet the technical standards more specifically towards the quality of the treated sewage, the Operator shall pay to the owner Liquidated Damages amounting to INR10000.00 For BOD and/or Fecal Coliform, INR 5000.00 for COD and / or TSS Standard, INR 7000.00 for Total Nitrogen and / or Ammonia Nitrogen and / or Phosphorus per day of occurrence, over and above the costs and compensation that might be required by the Owner to pay to the affected people and parties in the effluent discharge area. If the digested sludge does not meet the criteria mentioned in Clause No – 2.1.8, operator shall paid to the owner liquidated damage of Rs 10000.00 by monthly (15 & 30 of calendar).
2) Applicability of the Liquidated Damages shall be determined based on the weekly monitoring report of the quality of the treated effluent, submitted by the nominated Laboratory, namely PCRI BHEL Haridwar / IIT Roorkee / State PCB. The said Laboratory will test the samples [minimum 3 grab samples representative of different flow conditions (quantum and quality wise) in the day] of the treated effluent drawn every week jointly by the Owner and the Operator and the results of the test report shall be binding on both the parties.
3) If any of the grab samples of the effluent so tested fails to meet with the CPCB /State PCB standards stipulated in the Contract, Liquidated Damages as stated herein above shall be deducted from the O & M payments due to the Operator for all the seven days of the week.
4) The Operator shall maintain the STP for treating the sewage without any interruption by ensuring timely measures for preventive maintenance. However, if the STP is unavailable for treating the sewage for a period exceeding 6 hours for reasons attributable to the Operator, Liquidated Damages shall be levied by the Owner at the rate of INR 10000.00 per day or part of the day for the period the STP is not available beyond the allowed time of 6 hours as referred to above for repair/rectification. The Liquidate Damages shall apply over and above the costs and compensation which shall be reimbursed by the Operator in case such costs/compensations are required to be paid by the Owner to the affected people and parties in the effluent discharge area.

ARTICLE 2. Liquidated Damages (Operations) for I&D Works

Liquidated Damages (GC Section 5.4)

In case the Operator fails to meet the Performance Standards listed in the Table below, payments due to the Operator shall be subject to deduction on account of liquidated damages for defaults exceeding the Acceptable Limits. Such deductions shall be over and above the costs and compensation that might be required by the Owner to pay to the affected people and parties in the area where O&M of the sewerage network and Pumping Stations has been entrusted to the Operator.

"Acceptable Limit" is the permissible number of instances of defaults or non-adherence to a particular Set of Performance Standards during the Quarter for which payment has been claimed by the Operator.

The Operator shall be required to meet all of the Performance Standards as specified herein below. He shall ensure that defaults from compliance with the said Standards shall not exceed the Acceptable Limit; otherwise Liquidated damages as specified herein shall be applicable.

Performance set	Description of performance set	Acceptable limit[12]	Reduction in payment as% of quarterly O&M Charges[13]	Performance Standard
Set A	Sewerage Network Pipeline Breakages	1 per month /	1% of the quarterly payments for each default exceeding the Acceptable Limit	Sewer Network pipeline breakages that are not repaired within 24 hours (for sewers up 800 mm dia) and 48 hours (for all higher dia) of their being reported, will be considered as 'Breakages'.
Set B	Chokes, Blockages and	1 per month / 10 km length	do	Rectify Chokes / blockages within 24 hours of reporting / complaint / identification.

[12] *Indicative value provided here, the actual value to be specified by the Owner on a project to project basis.*
[13] *Indicative value provided here, the actual reduction should be specified on a project to project basis by the Owner.*

Performance set	Description of performance set	Acceptable limit[12]	Reduction in payment as% of quarterly O&M Charges[13]	Performance Standard
Set C	Pumping Stations	1 per month	do	Instances of failure to maintain optimum wet well levels of pumping stations and or delay in recording wet well levels.
Set D	Pumping efficiency	2 per month	do	Decrease in pumping efficiency by more than 10 % from the level as determined by Design Build Operations Engineer
Set E	Overflow from Pumping Station	1 per month	do	No overflow shall be allowed from the pumping station.
Set F	Replacement of Manhole Covers	1 per month / 10 km	Rs 500 per number of covers not replaced in 48 hours	Replace damaged or stolen manhole covers immediately. Max 24 hours.